

DOW THEORY

EXPLANATION

Abstract

We use event studies to estimate the effect of changes on stock returns. Specifically, we study whether the DOW THEORY is applicable in today's market or not by reviewing the secondary and primary data. In this research following ways and strategy are explained by the help of secondary data.

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INTRODUCTION

The Dow theory though formed in 1932, is still very popular even today, as it gives crystal clear guidelines to determine the trend of the market. For long positions, you have to identify the sequence of the higher bottom, higher top, higher bottom and higher top. When the script breaks the recent higher top with volume confirmation, you can create the long position. Opposite is true for taking short entry on basis of Lower top, lower bottom, lower top and lower bottom sequence. Once the price breaks the recent lower bottom, with volume confirmation, you can take the short position. Major trend once confirmed continue for minimum period of one year or more, until, it shows the definite signs of the reversal.

The famous saying goes that "Trend is your friend, until it ends"

The support and resistance points can be identified on the stocks using past data and the fresh long/short position can be taken at support level, if confirmed by the volume along with the candlestick pattern.

There is no guarantee that support/ resistance will be held.

But if you have done your analysis perfectly, you will succeed with proper money management, in the longer run.

What is Dow Theory?

Dow theory is formulated by Charles Dow and was published in 1932, Main points of Dow's theory are

1. Stock markets discounts everything and the effects is reflected in the share prices.
2. The market has three trends, primary, secondary and a minor trend.
3. The markets trends have three phases. [For bull market - Accumulation, public participation [absorption] and distribution.
4. Volume must confirm the trend.
5. Average must confirm each other.
6. Trend remains intact, until it gives a definite signal. Of reversal.

What type of charts used, minimum look up period, duration of trend forecasting for Dow Theory?

Line charts are used for Dow theory as Dow theory, takes into consideration of the closing prices and line charts are formed using the closing prices of the stock. Minimum look up required for getting reliable trend analysis using Dow theory is two years. You can use the more period for deeper analysis. Minimum requirement is two years, because as per Dow theory, primary trend lasts for one year or more. So whether the primary trend is present or it has ended, you will require minimum two years of the line charts. We are able to forecast the future trend of next two to three months, using the Dow theory.

How to determine the market trend using Dow Theory?

1. Get the line chart of the script for minimum period of two years or more.
2. As per Dow theory, market does not move up and down in straight line, but moves in form of the waves, hence you have to identify the peaks [Tops] and trough [bottoms] on the chart. Top or Peak is the highest period of market movement during last few days and Bottom or Trough is the lowest period of market movement during last few days.
3. Mark the top/ bottoms as higher top/ bottom or lower top/ bottom, in comparison with previous top. 4] Try to find out the sequence of either higher top, higher bottom, higher top and again higher bottom, for confirmation for uptrend and sequence of Lower Top, lower bottom, Lower top, Lower bottom for

confirmation of down trend.

5. **No clear sequence in sideways trend.**

What are the major critics against Dow Theory? How come it remains on top of any analysis?

Major critics are;

1. requirement of large period of data, which may not be easily available.
2. It fails to identify the exact reversal points, as it waits for the confirmation of the reversal, so the signals of reversal are generated late, so you miss the piece of the action.
3. Cannot be used for the intraday purpose.
4. As it takes into account only closing prices, the candlestick reversal pattern cannot be used for early reversal confirmation but in spite of all this, Dow theory is very popular, because of the clear guidelines of identifying the trend and trends once confirmed, **remain intact for long period of the time and has withstood the test of time since last 85 years.**

When to buy and sell using Dow Theory? For how long the trend will be reliable?

For taking long position, identify the established uptrend using the sequence of higher bottom, higher top, higher bottom and higher top. Now wait till price breaks the previous top accompanied by the increase in the volume. Once volume confirms the break out take long entry. **Take the short entry in confirmed down trend of LT, LB, LT, LB. Take short entry when the lower bottom is broken,** with significant increase in the volume. The trend remains intact as long as it does not give the definite signal of the reversal.

What are Support and Resistance?

Support is that level of the price, which prevent price from going further down. When price is going down, majority traders feel that price cannot go further down and they cover their short position. Also fresh buying takes place, creating the demand for the script. When more buying happens, the demand becomes the more powerful than the supply and the price start moving up. Resistance is that level of the price, where price stops to move up. Traders now feel, that price will not go further up from this point and start place sell orders to unwind their long positions or to create fresh short positions. This creates the supply for the script. As supply becomes more powerful than demand. The support and the resistant levels can be identified on the charts and trades can be taken at support/ resistant levels with volume confirmation and candlestick patterns.